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No. 2093/30 – WEDNESDAY, OCTOBER 17, 2018

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PART I : SECTION (I) – GENERAL Government Notifications

My No.: CI/1810.

THE INDUSTRIAL DISPUTES ACT, CHAPTER 131

THE Collective Agreement entered into between Coats Thread Exports (Pvt) Limited, Level 8, HNB Tower, 479, T. B. Jayah Mawatha, Colombo 10 of the one part and the Inter Company Employees' Union, No. 259/9, Sethsiri Mawatha, Koswatte, Talangama of the other Part on 20th September, 2017 is hereby published in terms of Section 06 of the Industrial Disputes Act, Chapter 131, Legislative Enactments of Ceylon (Revised Edition 1956).

A. WIMALAWEERA,
Commissioner General of Labour.

Department of Labour,
Labour Secretariat,
Colombo 05.
05th October, 2018.

Collective Agreement No. 31 of 2017

COLLECTIVE AGREEMENT

Between Coats Thread Expots (Pvt) Ltd & Inter Company Employees Union

This Collective Agreement, made and entered into on this Twentieth day of September, Two Thousand Seventeen (2017) pursuant to the Industrial Disputes Act between the Coats Thread Exports (Pvt) Limited, a duly registered Company Under the Companies Act and having its registered office at Level 8, HNB Tower, 479, T.B. Jayah Mawatha, Colombo 10 (hereinafter referred to as “the Employer”) of the One part and Inter Company Employees Union, a trade union duly registered under the Trade Unions Ordinance and having its registered office at No. 259/ 9, Sethsiri Mawatha, Koswatte, Talangama (hereinafter referred to as “the Union”) of the Other part :-



WITNESSETH and it is hereby agreed between parties as follows :-

Title : This Collective Agreement shall be known and referred to as the “Coats Thread Exports Employee, Collective Agreement of 2017”.

1. **Parties Covered and Bound.**— This Agreement shall cover and bind the Employer, the Union and the “Employees” as defined in clause 2 hereof to whom the Agreement shall apply.

2. **Employees Covered and Bound.**— This Agreement shall cover and bind all Employees employed at present by the Employer in its Factory at Moragahahena on permanent contracts of employment in the categories of employment for which salaries have been spelt out in the Second Shedule hereof and are members of the Union (hereinafter referred to as ‘Employees’).

3. **Duration of Agreement.**— This Collective Agreement shall be effective from the 1st day of January, 2017 and shall thereafter continue to be in force unless it is terminated by either party giving one month, notice in writing to the other, subject to the proviso that one party, hereto shall not give such notice to the other party and /or terminate the Agreement before the 31st day of December, 2019.

4. **Remuneration and Salaries.**— Parties agree that with effect from 01st September 2017, salaries of the employees will be revised based on the achievement of the production norms set out in the First schedule attached hereto.

Accordingly the remuneration of employees covered and bound by this agreement will be revised subject to the following terms and conditions, during the pendency of this Collective Agreement:

- (i) (a) For the period 01.09.2017 to 31.12.2017, and employee will receive an allowance of Rs. 3,500/- (Three Thousand Five Hundred) per month, strictly subject to and conditional upon achieving in each month the Agreed IE norm, hereinafter referred to as “IE norm” (which is 90% (SSP 1214) of the established IE norm for dye house) as set out in the First schedule of this agreement. The IE norm applicable may either be an individual or a group/machine/cell norm as more fully described in the First Schedule hereto except for the Dye house section which will be considered as one unit for the purpose of applying the IE norm. However if the production achieved in each month during the period referred to above is lower than the IE norm, the allowance of Rs. 3500/- will be paid on a pro-rata basis based on the percentage of the production achieved during that particular month. E.g. If in one month the production achieved by the Dye section is 95% of the IE norm, the employees will receive 95% of Rs. 3500/- as the allowance for the said month.
- (b) Thereafter with effect from 1st January 2018, the allowance of Rs. 3500/- referred to in 4(i)(a) above will be consolidated in to the salary of each employee who had achieved the IE norm on an average during the period 1st September 2017 to 31st December 2017, as set out in the First schedule hereto. For the employees who do not achieve the production norm on an average a prorated sum will be consolidated into the salary with effect from 1st January 2018, calculated on the average production achieved during the period 1st September 2017 to 31st December, 2017.
- (c) in respect of the period 1st January 2017 to 31st August 2017, Rs. 24,000/- as an *ex-gratia* payment will be made to those in service as at 20th September 2017. The said *ex-gratia* payment will not attract any consequential benefits such as EPF, ETF, Gratuity, Overtime or any other payment whatsoever.
- (ii) An employee who achieves the IE Norm given in the First schedule hereto (individual or the Section/ group/machine/cell norm as the case may be) during the period of 01.09.2017 to 31.12.2017 on an average, such an employee will be entitled to a salary increase of Rs. 3,000/- (Three Thousand) per month, effective from 01.01.2018. If the IE Norm is not achieved on an average during the said period, the Employer will grant a salary increase with effect from 01st January 2018, on a *pro rata* basis based on the percentage of the production norm achieved during the period 1st September 2017 to 31st December 2017.
- (iii) An employee who achieves the IE Norm given in the **First Schedule** hereto (individual or the Section/ group/machine/cell norm as the case may be) during the period of 01.01.2018 to 31.12.2018 on an average, such an employee will be entitled to a salary increase of Rs. 3,000/- (Three Thousand) per month, effective from 01.01.2019. If the IE Norm is not achieved on an average during the said period, the Employer will grant a salary increase with effect from 01st January 2019, on a *pro rata* basis based on the percentage of the production norm achieved during the period 1st January 2018 to 31st December 2018.

- (iv) The parties agree that the IE norms given herein has been computed on the basis of functional 80 dye machines and is based on the IE Work study conducted by University of Moratuwa, referred to in the **First Schedule** hereto. However, should there be any machine breakdown or any other reason specified in the **First Schedule** hereto, such will be considered in arriving at any revised IE norm for the relevant period although such factors have already been taken into consideration in the work study referred to above.
- (v) The parties agree that the Employer is not obliged or required to remedy any salary anomalies that may arise in future as a result of the salary revisions specified in this agreement.

5. **Salary Scales and Annual Increments.**— (i) With effect from 1st January, 2017, the commencement point of the salaries applicable to the respective categories of employees and the annual increments applicable to such categories will be set out in the second shedule hereto.

- (ii) Each Employee shall be entitled to an annual increment on the grade applicable in terms of the second Shedule hereof, provided however that such increment is not suspended, stopped or deferred by Employer on the basis of disciplinary action taken in accordance with the provision hereof.

6. **Remuneration For 2016.**—

- (a) In respect of the year 2016, Rs. 12,000/- as an *ex-grratia* payment will be paid to those in service as at 20th September 2017. The above *ex-grratia* payment will not attract any consequential benefits such as EPF, ETF, gratuity, overtime or any other payment whatsoever.
- (b) The parties agree that no salary revision had been negotiated and agreed for the past period of 01.01.2016 to 31.12.2016. However, considering the request of the Union, the Employer has agreed to pay a total sum of Rs. 2,000/- per employee by way of future salary increments to be given in 3 stages in the following manner:—

With effect from 01.09.2017	Rs. 500/-
With effect from 01.01.2018	Rs. 750/-
With effect from 01.01.2019	Rs. 750/-

These amounts will be consolidated to the basic salary of the employees on the respective dates given above.

7. **Annual Ex-Gratia Payment.**— With effect from the date of signing hereof by way of an *ex-gratia* payment. the Employer shall pay each Employee covered and bound by this Agreement in the month of April each year, sum equal to one month's salary of such Employee. The salary for this purpose will be the salary applicable at the time of such payment.

8. **Bonus Based on Sales Achievement.**—

- (a) With effect from the date of signing hereof in addition to the payment in terms of Clause 7 above, the Employer shall make a further bonus payment to Employees in the month of March or April each year in accordance with formula set out in the Third Schedule hereof. This payment will be linked to the achievement of sales volumes against budgeted sales targets of the production made locally.
- (b) The Union and the Employees agree that they shall not jointly and/or severally call into question or raise any dispute with regard to the sales budget determined by the Employer annually.

9. **Leave.**- (a) The leave entitlement of a confirmed Employee covered and bound by this Agreement shall be as follows in respect of each year, from the 2nd year of employment:

(i) For employees who have joined the company on or before 31 st December 2011

Annual Leave : 14 days

Casual Leave : 07 days

Sick Leave : 14 days

(ii) For Employees who have joined the company on or after 01 st January 2012

Annual Leave : 14 days

Casual Leave : 07 days

Sick Leave 03 days

However, subject to a maximum of 11 days and the provisions in 9 (d) below, and employee who has commenced employment after 01st January 2012 will be granted leave in case such an Employee is been hospitalized for medical treatment.

(b) All annual Leave shall be taken on dates mutually convenient to the Employer and the Employee concerned by prior arrangement and with the written approval of the Employer.

Other than due to circumstances beyond an Employee's control where prior approval of leave cannot be obtained from the Employer, all other leave must also be taken with the prior approval of the Employer. Casual leave to whom applicable shall not be permitted immediately preceding or succeeding a period of annual leave, except when approved by the Employer on exceptional circumstances.

In the case of absence on account of sickness in excess of two days, a medical certificate acceptable to the Employer should be submitted by the Employee. Any period of sick leave even for a single day, immediately preceding or succeeding annual leave will be permitted only subject to a medical certificate acceptable to the Employer.

(c) The 'Year of Employment' and the 'Leave Year' of an Employee for purposes of computing the leave entitlement and availment of leave, shall be the 12 month period commencing from the first date of the month in which an Employee has joined the Company. For example, in the case of an Employee who joined on 10th April the 'leave year' shall be regarded as 1st April - 31st March in any year.

(d) Leave for hospitalization to employees applicable, shall be strictly on providing a diagnosis card from a registered Hospital along with the relevant medical certificates in proof of such hospitalization which is acceptable to the employer.

10. **Purchase of unavailed of leave.**- (a) At the end of the 'Leave Year' of each Employee, the Employer shall make payment to each Employee in respect of unavailed of Casual and Sick leave in the following manner :-

(i) Up to 10 days of unavailed of leave – payment at the rate of 1 1/4 day's salary for each day

(ii) In excess of 10 days of unavailed of leave (to whom applicable) - payment at the rate of 1 1/2 days salary for each additional day in excess of 10 days.

(iii) leave granted for Hospitalization under paragraph 9 (a) (ii) above will not be considered for payment of unavailed of leave whatsoever.

Provided however that an employee who does not utilise his full quota of Casual and /or Sick leave may utilise in respect of an infectious disease hereunder identified, such number of days of Casual and / or Sick leave not utilised during the immediately preceding 2 years, regardless of such employee having obtained payment on account of such unavailed of leave. For example, if in the years 2017 and 2018 an employee has saved 10 days sick leave, he will , in addition to the payment he receives in respect of such 10 days, be permitted in 2019 to utilise 10 days leave with pay in the event of an infectious disease.

- (b) If an employee has exhausted his Casual and Sick leave entitlement at the time the employee contracts an infectious disease and has no leave saved in the two previous years, such absence will be treated as approved leave without pay.
- (c) 'Infectious diseases' for the purpose of the aforesaid proviso shall mean Chicken pox, Measles and Mumps only. All Leave applied for under this proviso will have to be supported by medical certificates acceptable to the Employer.

11. Shift Allowance.— Employees shall be paid as follows :

11.1 **2nd shift.**— For each 2nd shift worked, Rs.. 30/- will be paid subject to the following:

11.1.1 Employee should report to all 2nd shifts without absence.

11.1.2 This payment will be calculated on a weekly basis. One day's (annual holiday) leave with prior approval during the 2nd shift in any calendar months will be allowed for this payment. No other category of leave will be considered for payment of the 2nd shift allowance.

11.1.3 This payment will be made monthly and will be included in the relevant month's salary.

11.2 **3rd Shift .**— 11. 2.1 If only 50% or less of the available night shifts are worked within any calendar month, the allowance will be Rs. 105/- per shift

Eg. If the available night shifts are 12 days and if 6 or less days are worked in the night shift such employee's shift allowance will be calculated at the rate of Rs. 105/- X number of days worked.

11.2.2 Every additional night shift worked will be at the rate of Rs. 140/-

In addition, if all night shifts in a month are worked a night shift bonus will be paid as follows :

- (i) In a month where there are 6-9 night shifts (both days inclusive) available – Rs. 350/-, if all night shifts are worked.
- (ii) In a month where there are 10-12 night shifts (both days inclusive) available – Rs. 550/-, if all night shifts are worked.

12. Production Bonus. - Employees covered and bound by this Agreement shall be entitled to a monthly production bonus calculated in accordance with the rules laid down in the **Fourth Schedule** hereof, with effect from the date of signing hereof.

13. Grading of Employees.— The Employer shall carry out a re-grading exercise in respect of its maintenance employees as and when deemed necessary.

The Union may raise with the Management any dispute arising out of such re-grading and any such dispute shall be dealt with under the provisions of Clause 18 hereof.

14. Batta Rates.— Employees who on any day are required to leave their station on work and cannot return to station before 2.00 p.m. in the First Shift, 3.00 p. m. in the general Shift and 8.00 p.m. in the second shift will be paid Rs. 150/- by way of Batta in respect of such day.

15. **Uniforms.**— All Employees will be issued with three sets of uniforms per year and shall be required to wear them during their working hours. The employees will be provided with two cakes of soap per month for the washing of the Uniforms provided by the company.

16. **Meal Tokens.**— Employees who are required to work overtime for any period in excess of four hours beyond their normal shift will be entitled to receive a meal token the value of which will be determined by the management depending on the rates agreed with the service provider. The meal token value will automatically change from time to time on the rates to be agreed with the service provider. This meal token cannot be en-cashed under any circumstances.

In addition a short-eat will be provided, to the employees in the night shift at 2.00 a.m. at the discretion of the management.

17. **Levels of Production.**—

- (i) The Employer the Union and the Employees shall be bound by the IE Norms set out in the First Schedule hereto which is based on the findings of the work study conducted by the University of Moratuwa.
- (ii) The said production norms in relation to the dye house have been established through the report dated 10th October 2016. However at the request of the union the employer has agreed to consider IE Norm of 1214 SSP (90% of the IE study report of Moratuwa University dated 10th October 2016) for the dye house. Finishing and winding targets shall be based on the IE reports of the Moratuwa University dated 10th October 2016 and 4th July 2016 respectively. Any functions not covered by the IE Report dated 10th October 2016 or the IE Report dated 4th July 2016, shall continue at present levels or as may be determined by the Employer.
- (iii) The Employer, the Union and the Employees shall at all times adhere to the said production norms, and failure by the Employees to do so shall constitute misconduct.
- (iv) It is agreed that as per clause 3 of the MOS dated 26.08.2016, the minimum acceptable production norm shall be 95% of the production norms established through the work study.
- (v) It is agreed by and between the parties to this Agreement that the collective and/or individual production levels issued to employees will be achieved and maintained by employees subject to any variations referred to in this agreement, if any.
- (vi) The Employer shall have the right to revise the production and/or incentive targets in the context of the introduction of additional or new machinery, changes in technology and/or work procedures. Such revisions will be done in consultation with the Union.
- (vii) In the event of arising of any dispute regarding the revision of minimum production levels and/or incentive targets by the Employer, the parties agree to have the matter in dispute referred to the Textile Training and Services Centre or any other recognized institution. The decision of such body shall be final and binding on both the parties. The Parties shall accordingly comply with such findings and a refusal to work accordingly by employees shall constitute misconduct.

18. **Disputes Settlement Procedure.**— It is agreed by and between parties that any Industrial dispute that may occur on a matter not covered by this agreement between the Employer and the Union and/or the Employees during the pendency of this Agreement shall be dealt with in the manner set out hereunder.

- (i) The Branch Union or the Employees shall at the outset raise such dispute with the Employer and both parties shall endeavour to reach a satisfactory settlement of the dispute through consultation.
- (ii) In the event of there being no settlement after consultation between parties, the Union shall raise the dispute with the Employer's Federation of Ceylon of which the Employer is a member and the Union and the Federation shall through consultation with all parties attempt to reach a satisfactory settlement.
- (iii) Should there be no satisfactory outcome of the attempts at settlement by the Union and the Employers' Federation of Ceylon, the union may seek the intervention of the Commissioner of Labour to settle the dispute in accordance with the provisions of the Industrial Disputes Act.
- (iv) If after the conciliation has failed in the Labour Department, the Union wishes to take trade Union action, written notice should be given of not less than 21 days to the Employer and the Employers' Federation of Ceylon.
- (v) Parties agree that either party is entitled to specific performance of the obligations undertaken hereunder, and to prevent any breach thereof by injunction.

General

19. The intervals of Employees will remain unchanged.

20. The Union and the employees jointly and severally agree that they shall not, during the pendency of this Agreement, resort to any form of Trade Union action in respect of any matter covered by this Agreement.

21. It is further agreed by and between parties that neither party will, during the pendency of this Agreement, attempt in any manner to change, vary, amend in any form, the terms or conditions set out in this Agreement, other than by way of mutual agreement.

22. If during the continuance in force of this Agreement, the Government prescribes increases in salary by any written Law, applicable to the Company, the Employer shall be entitled to take credit for the increases granted in terms of this Agreement. However, if the Government recommends increases in wages, such recommendations will not be applicable to the Employer and the Employees.

23. The Employer, the employees and the Union jointly and severally agree to co-operate with each other towards continuous improvement and commitment to quality through team work in the Employer's establishment.

24. In the event of any inconsistency between the English and the Sinhala texts of this Agreement, the English text shall prevail.

25. At the request of the union and the six Stores employees who were transferred in terms of the Industrial Disputes Act section 12.1 agreement signed on 18.06.2009, salaries will be adjusted without arrears for the said six employees with effect from 1st September 2017.

8 A

I කොටස: (I) ඡේදය - ශ්‍රී ලංකා ප්‍රජාතාන්ත්‍රික සමාජවාදී ජනරජයේ අති විශේෂ ගැසට් පත්‍රය - 2018.10.17

PART I: SEC. (I) - GAZETTE EXTRAORDINARY OF THE DEMOCRATIC SOCIALIST REPUBLIC OF SRI LANKA - 17.10.2018



FIRST SCHEDULE

Salary Computation for all workers mentioned in the Collective Agreement signed on 20th September, 2017.

- A. As per the 12(1) MOU signed between parties on 21.09.2015, an Industrial Engineering work study was conducted by the University of Moratuwa, hereinafter called as UOM, for the period 01.08.2015 till 31.01.2016 for 80 dye machines and the Established Norm were derived by considering the machine group wise average cycle tie and also the actual Lot per machine per day. As per the study report, the total actual lots which can be achieved per day is 950 lots including Kier wash.
- B. Based on Union request for easy calculation, SSP equivalent factor was used to convert the actual lots mentioned in the IE report from UOM. The SSP equivalent lots including Kier wash was then derived by multiplying actual lots including Kier wash with SSP equivalent factor during the study period for individual machine group which is 1349 SSP Equivalent lots including Kier wash.
- C. As agreed by Union 90% of SSP Equivalent lots including Kier wash ie. 1214 is set as the Agreed Norm for 80 machines. The Dyeing Methods and SSP Equivalent Factors - Colour Stitch as at 07th June 2017 is referred as Schedule 1A which is enclosed.
- D. The following conditions will be considered when determining the norm set out as 1214:
- Utility Failure hours will be considered for norm reduction;
 - Any Machine breakdown greater than 1 hour will be considered for norm reduction;
 - Any Machine stoppage for planned maintenance or Relocation will be considered for Target Reduction;
 - IT Failure (Sedo Master) hours will be considered for norm reduction;
 - The targeted lots will change proportionally subjected to machine commissioning or de commissioning.
 - If a particular Dyeing method undergoes any process change then accordingly Management will provide the revised SSP equivalent factor reflecting the change;
 - Additions of any new machinery will proportionately increase the norm and company will have the right to conduct an IE study as prescribed in the clause 17 of this agreement;
 - No orders situation will be considered for norm reduction.

10 A

I කොටස: (I) ඡේදය - ශ්‍රී ලංකා ප්‍රජාතාන්ත්‍රික සමාජවාදී ජනරජයේ අති විශේෂ ගැසට් පත්‍රය - 2018.10.17

PART I: SEC. (I) - GAZETTE EXTRAORDINARY OF THE DEMOCRATIC SOCIALIST REPUBLIC OF SRI LANKA - 17.10.2018

































































